

STANDARD OPERATING PROCEDURE

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Monthly Bank Reconciliation & Financial Summary Workflow

MODULE	EFFECTIVE DATE	ROLE / OWNER	REVIEW FREQUENCY
General Ledger & Banking	September 2026	Bookkeeper / Financial Analyst	Monthly

1. PURPOSE & OBJECTIVES

This procedure defines the standardized process for executing monthly bank reconciliations, verifying ending general ledger balances against bank statement activity, isolating timing differences, and automating executive financial reporting.

2. EXECUTION WORKFLOW

STEP 1 Import & Categorize General Ledger Activity

- Populate Tab 1 (Bank_Reconciliation) with ending bank statement balances and line-item transaction activity.
- Assign precise classification tags using standard drop-downs: AR / Sales Revenue, Software & Tech, Office Expense, AP / IT Expenses, Professional Services, or AP / Facilities.

STEP 2 Process Reconciling Items & Outstanding Activity

- Identify uncollected invoices issued but not yet cleared on the bank statement; tag as **Deposit in Transit**.
- Identify uncleared vendor bills or checks issued but pending clearance; tag as **Outstanding Check / AP**.
- Ensure all settled cleared transactions display status **Reconciled & Matched**.

STEP 3 Validate Reconciliation Variance Logic

Confirm that the primary reconciliation proof in cell H7 reflects exactly **\$0.00** using automated cross-referencing:

Reconciliation Proof Formula

Adjusted Bank Balance = Ending Bank Balance + Deposits in Transit - Outstanding AP

Reconciliation Variance = Adjusted Ending Bank Balance - Adjusted Book Balance = \$0.00

STEP 4 Update Executive KPI Dashboard (Tab 2)

- Verify cross-sheet link formulas on Tab 2 (Monthly_Financial_Summary) to ensure live KPI compilation.
- Gross Revenue:** Aggregated via =SUMIFS() based on cleared revenue categories.
- OpEx Breakdown & % of Total:** Calculate category weight ratios using fixed total references (=C12/\$C\$16) and verify the overall total using =SUM(D12:D15).
- Net Operating Income:** Dynamic gross revenue minus operating expense formula (=C4 - C5).

3. QUALITY ASSURANCE & INTERNAL CONTROLS

Control Check	Verification Criteria	Target Output
Variance Verification	Cell H7 must yield zero difference between book and bank.	\$0.00 Variance
Formula Integrity	No hardcoded values in Summary KPI blocks or Total rows.	Dynamic Reference
OpEx Allocation	Sum of percentage breakdowns using =SUM(D12:D15) must equal full operating pool.	100.00% Total